

Course Code: BCC 107
Course Title: Microeconomics
Marks: 100
Credit: 3.00 hours
(Written: 75, Internal Evaluation: 20 and Viva: 05)

Course Objectives

This course begins with an introduction to supply and demand and the basic forces that determine an equilibrium in a market economy. Next, it introduces a framework for learning about consumer behavior and analyzing consumer decisions. We then turn our attention to firms and their decisions about optimal production, and the impact of different market structures on firms' behavior. The course finally discusses the equilibrium in factor markets. By the end of the course, you will be able to understand introductory microeconomic theory, solve basic microeconomic problems, and use these techniques to think about a number of policy questions relevant to the operation of the real economy.

Course Contents

1. Introduction

Definition of Economics, Two Big Economic Questions, The Economic Way of Thinking, Economics as Social Science and Policy Tools, Production Possibilities and Opportunity Cost, Using Resources Efficiently, Thinking like an Economist, Mankiw's Ten Principles of Economics, Microeconomics vs Macroeconomics.

2. Demand and Supply

Markets and Competition, The Demand Function and the Demand Curve, Individual Demand vs Market Demand, Determinants of Demand, Shift vs Movement along the Demand Curve, the Supply Function and the Supply Curve, Determinants of Supply, Shifts vs Movement along the Supply Curve, Equilibrium, Changes in Equilibrium.

3. Elasticity of Demand and Supply

Meaning of Elasticity-Types of Elasticity: Point-Price Elasticity of Demand, Arc Price Elasticity of Demand, Relationship between Price Elasticity and Total Revenue, Relationship between Marginal Revenue and Price Elasticity, Income Elasticity of Demand, Cross-Price Elasticity of Demand, Point-Cross Elasticity, Arc-Cross Elasticity, Elasticity of Supply.

4. Consumer Behavior

Utility and Utility Function, Total Utility and Marginal Utility, Diminishing Marginal Utility, Consumer Preferences and its Properties, Representing Preferences with Indifference Curve, Properties of indifference curves, Consumers' Optimal Choices, Changes in Income and Prices: Income and Substitution effect.

5. Production and Cost

Time Frame in Production, The Production Function, Short-run vs Long-run Production, *Short-run*: Total product, Marginal Product and Average Product, The Law of Variable Proportion, The Law of Diminishing Marginal return, Three-stages of Production, The Various Measures of Costs, Cost Curves and their Shapes, Short-run Production and Cost Relation, *Long-run*: Production Iso-quant and Iso-Cost, Optimal Combination of Inputs, The Relation between Short-run and Long-run Costs, Economies and Diseconomies of Scale.

6. Product Market Structure

Perfect Competition: Competitive Market and its Characteristics, Short-run equilibrium Analysis, Long-run Equilibrium, Supply Curve; *Monopoly*: Monopoly and its Characteristics, Why Monopolies Arise, Equilibrium of the Monopolists, Price Discrimination; *Monopolistic Competition*: Concepts of *Short-run* and Long-run Equilibrium; *Oligopoly*: Concepts of Collusive and Non-Collusive oligopoly.

7. The Factor Markets

The Demand of Labor, The Supply of Labor, Equilibrium in the Labor Market, Changes in Equilibrium, Equilibrium in the others factor Market: Land and Capital.

Basic Texts:

1. Gregory N. Mankiw, Principles of Microeconomics, 8th Edition, South-Western Cengage Learning.
2. Michael Parkin, Economics, 11th Edition, Pearson.

References:

3. A. Koutsoyiannis, Modern Microeconomics, 2nd Edition, McMillan Education.
4. Christopher R. Thomas & S. Charles Maurice, Managerial Economics-*Foundation of Business Analysis and Strategy*, 12th edition, McGraw Hill Education.
5. Thomas J. Webster, Managerial Economics-Theory and Practice, Academic Press.